

A massive boom in private hospitals is changing the nation's health delivery landscape beyond recognition. New hospitals are mushrooming, even in smaller towns, and leading healthcare entrepreneurs with deep pockets are expanding their empires, often overseas. The scent of big money is in the air. It's capturing the dreams of young entrepreneurs. It's making seasoned business leaders look for an edge in marketing healthcare in a new avatar. It's giving doctors the choice and option of moving from green to greener pastures. At the root is the new-age patient who wants the best treatment money can buy. Bleeding-edge technology, wonder drugs and star facilities are now the hospital mantra. Healthcare systems are usually large, complex and slow to respond to change. But the surge of new ideas, approaches and institutions is melting away the age-old barriers to change. India is writing a new chapter of growth.

"Have a chat with hospital CEOs and you'll notice that they increasingly talk about the great Indian growth story and how that translates into robust growth for the healthcare industry in India," says Seema Chaturvedi, MD of Accelerator Group, a strategic advisory that has just brought out a hospital CEO survey. She is not surprised. The healthcare market is on an unprecedented high at 16 per cent year on year. From Rs 1,02,600 crore in 2005, it now clocks Rs 2,00,000 crore and is projected to reach Rs 3,00,000 crore by

2012. The industry employs over four million people, making it one of the largest service industries in the economy, reports a new study by ASSOCHAM and Yes Bank (Healthcare Services in India, 2009). Infrastructure spend is on a staggering growth clip, doubling in size and slated to reach Rs 63,900 crore in 2013 (KPMG, 2009). The private sector, up from Rs 85,500 crore in 2006 to Rs 1,48,050 crore now, accounts for 80 per cent of the market—highest in the world. It also controls 60 per cent of the 15,393 hospitals in India, with cash-rich corporates holding 10 per cent of the pie. In the metros, quality hospital beds are blooming, almost at par with the global benchmark of 35 beds per 10,000 people, if you have the money to pay your bill.

■ Big is Better

Despite the meltdown, it's a world full of hectic buzz. Giant new projects are rolling off the line—be it pioneering cardiologist and healthcare entrepreneur



Big Players, Big League

Dr Prathap Reddy, **APOLLO**

His dream is taking the Apollo Group up along an unexplored trajectory where healing, learning and rejuvenation get coupled with world-class infrastructure and modern medicine. "The time has now come," says Reddy. That's because of the new churn in the market. He has been "playing the game" ever since he set up India's first corporate hospital in Chennai in 1983. With an annual footfall of over seven million patients, 62,000 employees, 50 operational hospitals and 9,000 beds, today his group is a Rs 4,500-crore company. Apollo has massive expansion plans—be it building medicities, moving into smaller towns with world-class facilities, or expanding internationally.

"Innovation and a superior patient experience are the two aspects of our business model."

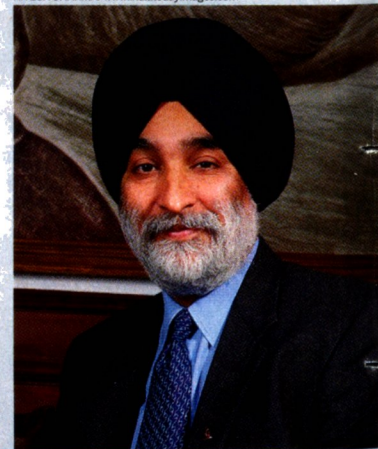


Shivinder Singh, **FORTIS HEALTHCARE**

Sixty-two hospitals, 10,000 beds and a turnover of Rs 4,500 crore—the Fortis group truly shows the might of private players. "That makes us the biggest hospital network in Asia," says Singh. Aggressive expansion, mergers and acquisitions have been the blueprint of growth. The aspiration is to be global leaders in healthcare eventually.

"The healthcare industry is growing exponentially due to increasing per capita healthcare spending by consumers and investments by private players."

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Analjit Singh, **MAX INDIA LIMITED**

The NCR's very own hospital brand is ready to foray outside the Capital—from Dehradun to Mohali, Bhatinda to Shalimar Bagh. In the pipeline are 1,050 beds and superspecialties.

"Healthcare cannot be franchised. We intend to grow organically and through Greenfield expansions."